Question #1 of 26

Question ID: 1675594

A money manager works for a full-service brokerage firm. After meeting with a new client and gathering all relevant information, the money manager says that she thinks her firm can perform all the financial services the new client needs. With respect to Standard I(C): Misrepresentation, this:

A) may not be a violation if the representation was made orally.

B) may not be a violation if the manager's opinion is based upon the factual information gathered.

C) is a violation because she cannot make statements like this under any circumstances.

Explanation

There is no violation if the opinion is based upon the factual information gathered and the firm's actual capabilities. This is true whether or not the representation was written, oral, or electronic. None of the other choices are correct.

(Module 20.2, LOS 20: I(C))

Question #2 of 26

Question ID: 1675599

According to CFA Institute Standards of Professional Conduct, which of the following statements about the prohibition against plagiarism is *most correct*? The prohibition against plagiarism applies to:

A) written materials only.

B) written materials and oral communications.

C) written materials, oral communications, and telecommunications.

Explanation

The prohibition against plagiarism applies to all three areas.

(Module 20.2, LOS 20: I(C))

Question #3 of 26

Question ID: 1675617

An investment advisor takes a trip for which his firm will pay the expenses. Upon his return, he alters some of the numbers on restaurant receipts to inflate the expenses by $64. Is this a violation of Standard I(D)?

A) Yes, because the amount involved is over $50. ✗

B) Yes, because it reflects adversely on the charterholder's professional reputation. ✓

C) No, if such a crime carries less than a one-year prison term. ✗

Explanation

Professional conduct involving dishonesty, fraud, or deceit is a direct violation of Standard I(D): Misconduct.

(Module 20.2, LOS 20: I(D))

Question #4 of 26

Question ID: 1675616

Nancy Hall, a candidate in the CFA Program, is an analyst for a mutual fund. As part of her job, she makes company visits to interview executives. On a recent trip, she stayed with her sister instead of at a hotel. In her expenses, Hall included a hotel charge of $100, which was less than the amount allowed by her employer. After receiving a check for her expenses, Hall disclosed to her supervisor that she had stayed with her sister instead of at a hotel. She also returned the $100 to her employer. According to CFA Institute Standards of Professional Conduct, which of the following statements *best* describes Hall's professional conduct?

A) Hall did not engage in professional misconduct because she did not meet all of the requirements to use the CFA designation. ✗

B) Hall did not engage in professional misconduct because she eventually disclosed this information and returned the $100 to her employer. ✗

C) Hall engaged in professional misconduct. ✓

Explanation

Hall engaged in professional misconduct because her act involved dishonesty, fraud, and deceit.

(Module 20.2, LOS 20: I(D))

Question #5 of 26

Question ID: 1675615

A CFA charterholder in a managerial position is in the process of hiring new analysts. If the charterholder conducts background checks on the job applicants with respect to their character, the charterholder has:

A) complied with Standard VII(A) concerning conduct of members and candidates in the CFA Program. ✗

B) violated the Code of Ethics by invading the applicants' privacy. ✗

C) complied with Standard I(D) concerning professional misconduct. ✓

Explanation

To avoid potential problems and comply with Standard I(D), employers are encouraged to conduct background checks on potential employees.

(Module 20.2, LOS 20: I(D))

Question #6 of 26

Question ID: 1675614

Which of the following does not violate Standard I(D): Misconduct regarding Roland Lawson, a financial analyst?

A) Lawson is arrested for participating in a nonviolent protest. ✓

B) Lawson committed perjury in connection with a lawsuit against his firm. ✗

C) Lawson drinks excessively during business meetings with clients and returns to work under the influence of alcohol. ✗

Explanation

Any professional conduct that involves dishonesty, fraud, or deceit is a violation of Standard I(D): Misconduct. One must refrain from activities that reflect poorly on integrity, reputation, trustworthiness, or professional conduct. The focus of the Standard is on professional, not personal, conduct.

(Module 20.2, LOS 20: I(D))

Question #7 of 26

Question ID: 1675598

All of the following violate Standard I(C): Misrepresentation except:

A) presenting factual information published by recognized statistical reporting services without acknowledgment. ✓

B) citing quotes attributable to "investment experts" without specific references. ✗

C) copying a proprietary computerized spreadsheet without seeking authorization from the creators. ✗

Explanation

Standard I(C): Misrepresentation permits using factual information from recognized financial and statistical reporting services without acknowledgment.

(Module 20.2, LOS 20: I(C))

Question #8 of 26

Question ID: 1675593

A CFA charterholder gathers the closing prices of a security from a widely read publication. The charterholder uses the data as part of a report she is preparing and fails to report the data source in the report. This is:

A) not a violation of Standard I(C) if the data cannot be gathered from several public sources. ✗

B) a violation of Standard I(C). ✗

C) not a violation of Standard I(C) if the data can be gathered from several public sources. ✓

Explanation

Because the security prices represent factual information that can be verified from several sources, there is no violation. It could have been a violation, had the information been exclusively published by the source.

(Module 20.2, LOS 20: I(C))

Question #9 of 26

Question ID: 1675595

According to CFA Institute Standards of Professional Conduct, which of the following is *least likely* a form of misrepresentation?

A) Using factual information published by recognized financial and statistical reporting services or similar sources without acknowledgment. ✓

B) Attributing specific quotations to "leading analysts" and "investment experts" without specific reference.

C) Presenting statistical estimates of forecasts prepared by others with the source identified, but without qualifying statements or caveats that may have been used.

Explanation

Standard I(C) provides that "factual information published by recognized financial and statistical reporting services or similar sources" may be used without an acknowledgment.

(Module 20.2, LOS 20: I(C))

Question #10 of 26

Question ID: 1675597

An analyst preparing a report needs to cite which of the following?

A) The individual who developed a chart from the same firm.

B) Estimates of betas provided by Standard & Poor's.

C) A recent quote from the Federal Reserve chairman.

Explanation

Statistics provided by a recognized agency, such as Standard and Poor's, do not need to be cited. Charts, quotes, and algorithms developed by the firm would need to be cited when they are used, but the individual(s) who developed the materials within the firm do not need to be cited.

(Module 20.2, LOS 20: I(C))

Question #11 of 26

Question ID: 1675613

A CFA charterholder is caught shoplifting and is sentenced to nine months in prison. Is this a violation of Standard I(D): Misconduct?

A) Yes, because the crime involved stealing.

B) Yes, because the prison sentence is more than six months.

C) No, because the crime does not relate to the investment profession.

Explanation

Any act involving lying, cheating, stealing, or other dishonest conduct that reflects adversely on the charterholder's professional activities is a violation of Standard I(D). Although the crime did not relate to the investment profession, it certainly reflected adversely on the charterholder professionally.

(Module 20.2, LOS 20: I(D))

Question #12 of 26

Question ID: 1675618

All of the following are violations of Standard I(D): Misconduct except:

A) any conduct that undermines confidence that the CFA charter represents a level of achievement based on merit and ethical conduct. ✗

B) the conviction of a crime involving fraud. ✗

C) the conviction of a misdemeanor involving civil disobedience in support of one's personal beliefs. ✓

Explanation

The Code and Standards do not focus on personal conduct, as long as the conduct does not reflect poorly on one's professional reputation, integrity, or competence.

(Module 20.2, LOS 20: I(D))

Question #13 of 26

Question ID: 1675602

Sandra Bulow, CFA, is responsible for updating her employing firm's website to include changes in analysis techniques and trading procedures. She is often very delinquent in making these changes, despite working extensive hours. She is aware that clients are using the website to make investment decisions, and she has received complaints from the sales department because the information on the website is often different from what is presented in sales meetings. Bulow is *most likely*:

A) not in violation of any Standard. ✗

B) in violation of Standard III(B): Fair Dealing. ✗

C) in violation of Standard I(C): Misrepresentation. ✓

Explanation

Bulow is most likely in violation of Standard I(C): Misrepresentation. The website information is erroneous, and it needs to be updated to match the firm's current practices.

(Module 20.2, LOS 20: I(C))

Question #14 - 19 of 26

Question ID: 1675604

With respect to the use of information in the report on MG, Braman was:

A) not in violation of the Standards. ✗

B) in violation of the Standards in the use of the Ipswich report, but not in the data from the other sources. ✓

C) in violation of the Standards in the use of all the sources of data. ✗

Explanation

Braman has violated Standard I(C): Misrepresentation by including unaltered material from the Ipswich research report without acknowledgment of its original report. The use of the financial data from the financial press and recognized statistical sources without acknowledgment is permissible.

(Module 20.2, LOS 20: I(D))

Question #15 - 19 of 26

Question ID: 1675605

With respect to Braman's drinking and being arrested for a DWI, Braman was:

A) in violation of the Standards with respect to both the drinking and the DWI arrest. ✓

B) not in violation of the Standards. ✗

C) in violation of the Standards with respect to the DWI arrest, but not in the drinking itself. ✗

Explanation

Braman's drinking is in violation of Standard I(D): Misconduct, which states that "Members must not engage in any professional conduct involving dishonesty, fraud, or deceit or commit any act that reflects adversely on their professional reputation, integrity, or competence." Being charged with DWI during working hours is a violation of the Standards because this indicates, according to the law, that Braman was intoxicated; this could impair her ability to perform her duties at work.

(Module 20.2, LOS 20: I(D))

Question #16 - 19 of 26

Question ID: 1675606

If Braman accepts the trip to Australia as offered by MG, based on the given information, she is:

A) not in violation of the Standards if the trip's value is not in excess of $1,000. ✗

B) not in violation of the Standards, and the value of the trip is not important. ✗

C) in violation of the Standards. ✓

Explanation

The trip to MG's operations is questionable, but the extra days touring Australia clearly make accepting the trip a violation of Standard I(B): Independence and Objectivity. The extra perks of the trip could impair Braman's judgment. Note that in this case, the dollar amount of the perks is not relevant.

(Module 20.2, LOS 20: I(D))

Question #17 - 19 of 26

Question ID: 1675607

There was a misuse of the CFA designation by:

A) both Braman and the assistant. ✗

B) neither Braman nor the assistant. ✗

C) Braman, but not the assistant. ✓

Explanation

The assistant was within his right to mention that he had passed the Level I exam in the interview and on his resume. It is a statement of fact. Without any more information, we cannot say the assistant misused the CFA designation. Braman should not have said she "has a Level I CFA as an assistant." This is a violation of Standard VII(B): Reference to CFA Institute, the CFA Designation, and the CFA Program.

(Module 20.2, LOS 20: I(D))

Question #18 - 19 of 26

Question ID: 1675608

With respect to Standard VII(A): Conduct as Participants in CFA Institute Programs:

A) Neither Braman nor her assistant are in violation of the Standard. ✗

B) Braman is in violation of the Standard, but her assistant is not in violation. ✓

C) Both Braman and her assistant are in violation of the Standard. ✗

Explanation

According to Standard VII(A), members and candidates must not compromise the integrity of the CFA exam. Braman's offer to supply an advance copy of the exam is an obvious violation. However, the Standard does not prohibit expressing opinions about the CFA Institute; thus, Braman's assistant is not in violation with his comments.

(Module 20.2, LOS 20: I(D))

Question #19 - 19 of 26

Question ID: 1675609

Braman tells her assistant that she is writing a more favorable report on MG than is warranted to secure a big bond underwriting deal with MG in the near future. She is doing this at the order of the senior management of NQX. Braman gives the assistant her report on MG to type up for dissemination. The assistant types the report and helps in its dissemination. With respect to this:

A) Braman is in violation of the Code and Standards, but the assistant is not. ✗

B) neither the assistant nor Braman are in violation of the Code and Standards. ✗

C) both the assistant and Braman are in violation of the Code and Standards. ✓

Explanation

Braman is in violation of Standard I(B) on Independence and Objectivity by composing a biased report. The assistant has been told the report is biased and violates Standard I(A) by knowingly participating and assisting in a violation of the Standards.

(Module 20.2, LOS 20: I(D))

Question #20 of 26

Question ID: 1675612

An analyst belongs to a nationally recognized charitable organization, which requires dues for membership. The analyst has worked out a deal under which he provides money management advice in lieu of paying dues. While performing services for the organization, the analyst discovers some useful computer programs that his predecessor developed and left as the property of the organization. The analyst decides to use the computer programs in his consulting business. This action is:

A) a violation of Standard I(D) concerning misconduct.

B) a violation of Standard III(B) concerning fair dealing.

C) appropriate because the analyst is technically an employee of the organization.

Explanation

Because the programs are the property of the organization, the analyst can only use them for the organization. It does not matter whether the analyst is an employee. Personal use of the programs without permission from the charitable organization is dishonest and prohibited.

(Module 20.2, LOS 20: I(D))

Question #21 of 26

Question ID: 1675610

A CFA charterholder who comes to work intoxicated is:

A) in violation of Standard I(D) concerning professional misconduct.

B) not in violation of the Standards.

C) in violation of Standard IV(A) concerning duties to the employer.

Explanation

Being intoxicated at work is poor personal behavior. It is a violation of Standard I(D), which covers professional competence and integrity.

(Module 20.2, LOS 20: I(D))

Question #22 of 26

Question ID: 1675611

Timothy Hooper, CFA, is a security analyst at an investment firm. In his spare time, Hooper serves as a volunteer for City Pride, which collects clothes for the homeless. Hooper has occasionally given some of the clothes to his friends or sold the clothes instead of returning all of the clothing to City Pride. City Pride discovers what he has been doing and dismisses him. Later, City Pride learns that other volunteer organizations have dismissed Hooper for similar actions. Has Hooper violated Standard I(D) on professional misconduct in the CFA Institute Standards of Professional Conduct?

A) No, because Hooper's conduct is unrelated to his professional activities as a security analyst.

B) Yes.

C) No, because Hooper volunteers his services to City Pride.

Explanation

Hooper violated Standard I(D) because he repeatedly engaged in conduct that involves dishonest conduct. This violation occurred despite the fact that his offenses do not relate directly to his professional activities. However, Hooper's conduct reflects poorly on his professional reputation and integrity.

(Module 20.2, LOS 20: I(D))

Question #23 of 26

Question ID: 1675600

The following information involves two research analysts at a brokerage firm:

- Erik Bagenot, CFA, is preparing a research report on Global Enterprises, Inc. In preparing the report, he uses materials from many sources. For example, he uses factual information published by Standard & Poor's Corporation without acknowledging the source. He also uses excerpts from a research report prepared by another analyst. Bagenot makes only a slight change in wording for these excerpts, but he acknowledges the source.
- Sally Wain, who is currently enrolled in the CFA Program, is preparing a research report on Manson Telecommunications. She attends a conference in which several investment experts provide their views about the future prospects of this company. Wain cites several quotations from these investment experts in her report without specific reference.

According to CFA Institute Standards of Professional Conduct involving prohibition against plagiarism, which of the following statements is correct?

A) Bagenot violated the Standards, but Wain did not.

B) Both Bagenot and Wain violated the Standards.

C) Wain violated the Standards, but Bagenot did not.

Explanation

Bagenot complied with Standard I(C), which permits publishing factual information from Standard & Poor's without acknowledgment and using excerpts with acknowledgment. Wain committed plagiarism because she failed to give specific references for the quotations that she used.

(Module 20.2, LOS 20: I(C))

Question #24 of 26

Question ID: 1675596

At the time of its initial public offering (IPO), a mutual fund is invested primarily in junk bonds. As part of its strategy, it is also invested in some zero-coupon U.S. Treasury bonds. The amount of the investment in the Treasury bonds is such that their maturity value equals 90% of the current value of the fund. Which of the following may a CFA Institute member say to her clients concerning the fund at issuance?

A) A CFA Institute member may not make either of these statements. ✓

B) Because the fund is backed by the U.S. government, you know you will get your money back. ✗

C) The fund is virtually default risk free. ✗

Explanation

Standard I(C): Misrepresentation prohibits making statements that mention a guarantee of returns or misrepresent the true nature of the investment.

(Module 20.2, LOS 20: I(C))

Question #25 of 26

Question ID: 1675592

Marc Randall, CFA, is an investment analyst. During a meeting with a potential client, Randall's boss states, "You can be sure our investments will always outperform Treasury bonds because of our fine research staff members, like Marc." Randall knows that this statement is:

A) not a violation of the Code and Standards. ✗

B) a violation of fiduciary duties owed to clients under the Standards. ✗

C) a violation of the Standard concerning prohibition against misrepresentation. ✓

Explanation

Under Standard I(C), members are forbidden from guaranteeing a specific rate of return on volatile investments. Therefore, the statement is in violation of the Standard.

(Module 20.2, LOS 20: I(C))

Question #26 of 26

Question ID: 1675601

Wes Smith, CFA, has been working toward the completion of a master of science degree in finance. He has passed all the necessary courses and written the necessary thesis. He still must defend the thesis in one month. Smith's thesis advisor assures him that he will pass the thesis defense. Smith has new business cards printed with "MS in Finance" after his name. This is a violation of:

A) Standard I(C): Misrepresentation.

B) Standard VII(B): Reference to CFA Institute, the CFA Designation, and the CFA Program.

C) none of the Standards if Smith does not make the cards public until after he defends his thesis and receives his degree.

Explanation

Although the printing of the business cards was not a prudent move, if care is taken not to distribute them until the appropriate time when he has received his degree, then no violation has occurred. In some sense, it is like a research report written in advance of an anticipated event. As long as the report is not released until after the event, no violation has occurred.

(Module 20.2, LOS 20: I(C))